Start here

IIM KOZHIKODE · BMS 01 · ORGANISATIONAL BEHAVIOUR · MID-TERM

OB made simple: Modules 1–5, one idea per slide 📘



M1
Intro · Ethics · Problem solving



M2
Values & Attitudes



M3
Emotions & Perception



M4
Motivation



M5
Positive OB

Every slide is read in the same order: ① **big idea** → ② **picture** → ③ **key points** → ④ **how to use it in the exam**.
Stars tell you priority: ★★★ **must know** · ★★ **important** · ★ **if time**. Each slide shows the 📖 **book page** where it lives.

How to read every slide (same layout every time)

Title of the idea ★★★ 📖 p.174

① **BIG IDEA (one sentence)**



② **PICTURE**



③ **KEY POINTS**

④ **IN THE EXAM (case link)**

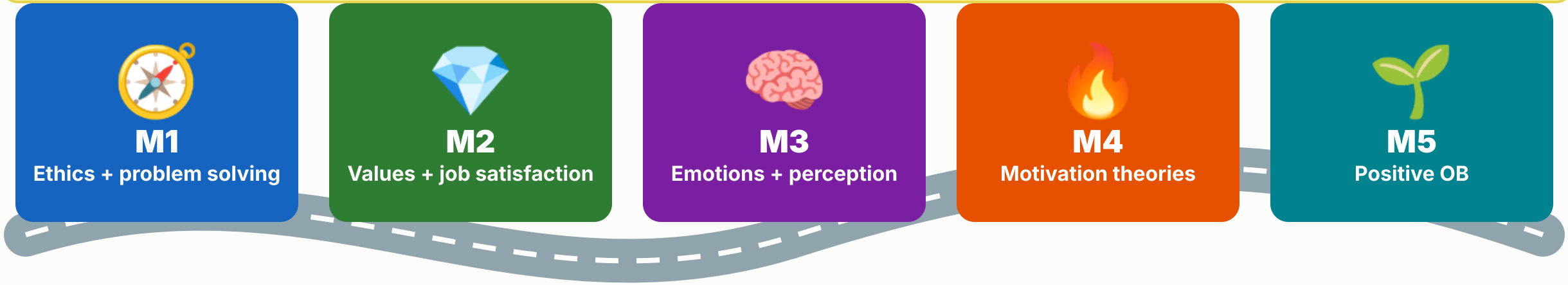
1. **Read the BIG IDEA**
   If you remember only one line, it's this one.
2. **Look at the PICTURE**
   It shows the theory as a shape: a scale, a ladder, a pyramid.
3. **Skim the KEY POINTS**
   3–5 facts. You don't memorise these: the book has them.
4. **Note the EXAM link**
   Which case or question this theory answers.

Each module starts with a **ROADMAP** slide listing its slides in reading order. **Short on time? Read only the ★★★ slides.**

START HERE

Your exam in one picture: 5 modules, 7 cases/readings

1 **Mid-term = Modules 1–5. Each module has a case. Your job: explain the case using the module's theories.**



📄 R1 Indiana DOR · R2 Carucci

📄 McKinsey 'Great Attrition'

📄 R3 · Prudence · Yelp

📄 Orix Geoscience

📄 Southwest Airlines

📖 **Open book:** you may carry ONLY the textbook. So mark it tonight (see the Visual Book Guide).

✍️ **Questions are open-ended & case-based:** apply 2–4 theories to the case. Copying definitions earns little.

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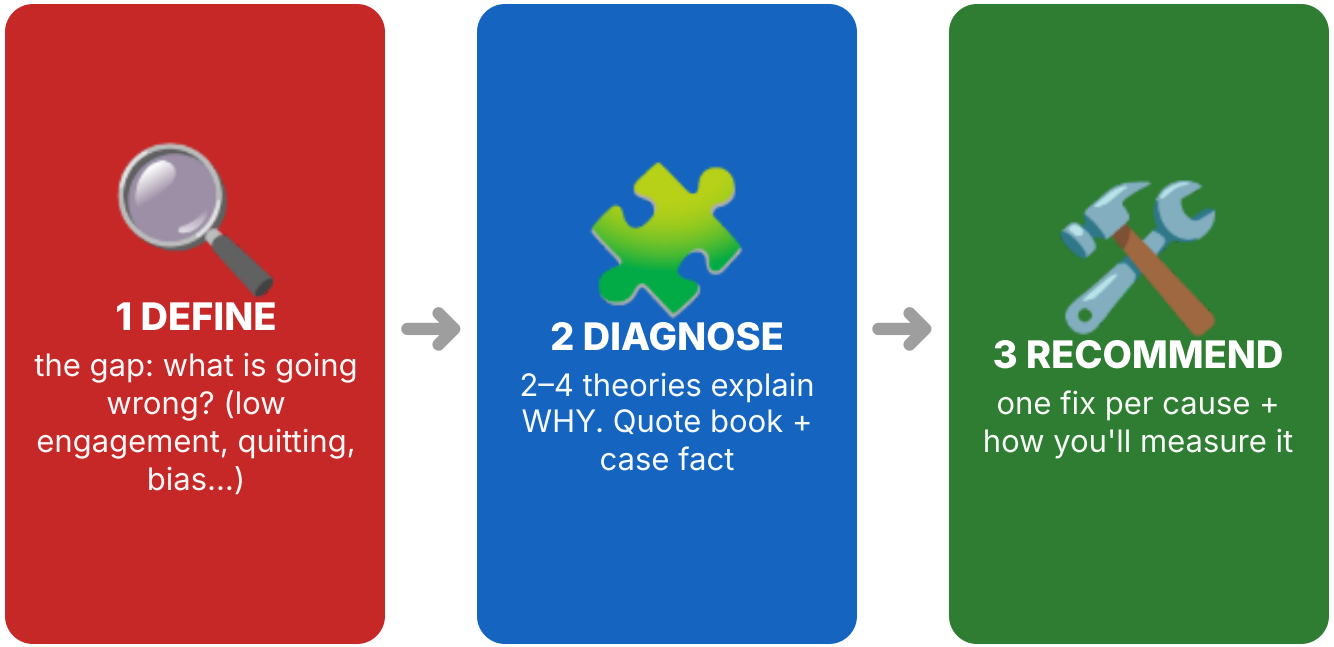
The ONE answer method: use it for every case question

★★★ MUST KNOW

📖 Book p.21-22, 27

1 **Every answer = ① what's the problem ② why is it happening (theory) ③ what should be done. That's it.**

2 THE 3 STEPS



3 KEY POINTS

1. Write one paragraph per theory: **theory → case fact → so what**
2. Cite the page: 'Herzberg (Kinicki, p.175) ...'
3. Sort causes: person vs situation; individual / group / organisation
4. End with an ethics check and how success is measured

4 **IN THE EXAM:** Example opener: 'The core problem at Orix is a possible fairness gap as it grows. Herzberg (p.175) explains...'

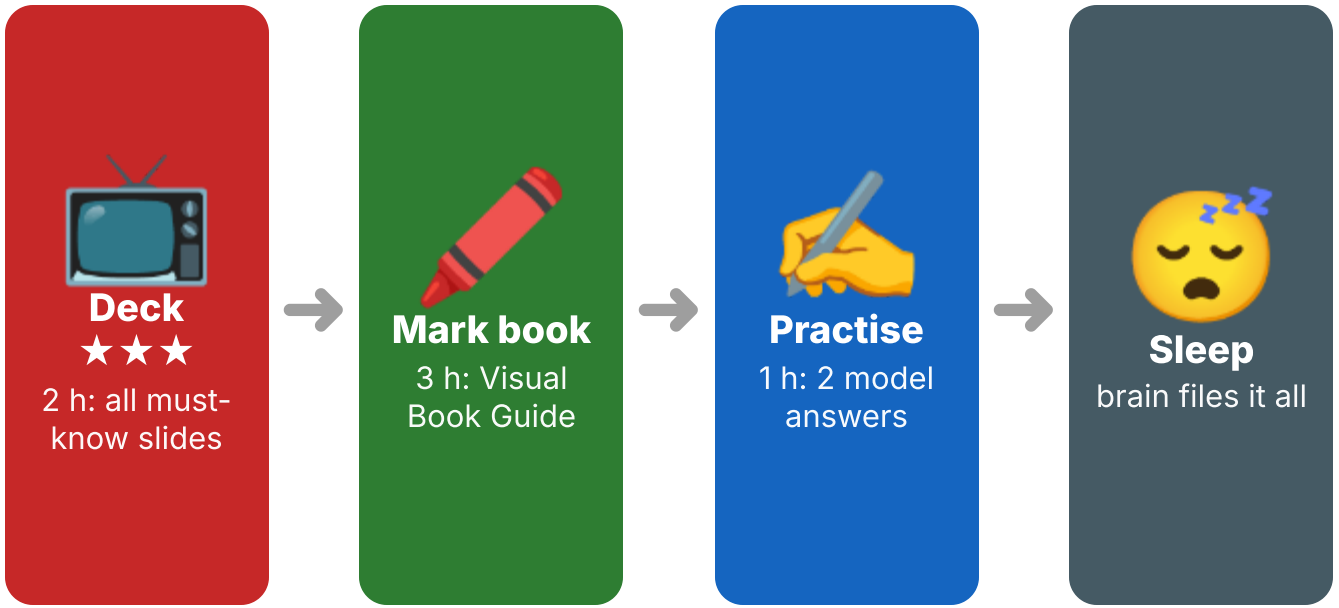
START HERE

Tonight's plan (about 7 hours)

★★ IMPORTANT

1 **Understand the ideas from the slides, then mark your book so you can FIND them tomorrow. Don't memorise.**

2 THE PLAN



3 KEY POINTS

1. Do ★★★ slides first in every module
2. Mark the book module by module, right after its slides
3. Practise with Toolkit slides (Orix model answer)
4. Short on time? ★★★ slides + ★★★ book pages only

4 **IN THE EXAM:** In the hall: read the case → pick theories from the Toolkit matcher → flip to the tab → write.

Module 1 roadmap: Intro, Ethics & Problem Solving

★ **Module 1 gives you the TOOLS (3-step method, person vs situation, Organizing Framework) you'll use in every other module.**

1 What is OB? The study of people at work ★★	7 What YOU can do when you see unethical conduct ★	13 People management: Starbucks manager 'Alex' ★★
2 Why OB is NOT just common sense ★	8 The 3-Step Problem-Solving Approach ★★★	14 R1: Indiana Dept. of Revenue: a culture turnaround ★★★
3 What managers do + skills that get you promoted ★	9 Person vs Situation: two sources of every behaviour ★★★	15 R1: Schein's 3 levels of culture (how DOR changed) ★★
4 Ethics: why it matters for performance ★★	10 The Organizing Framework: Inputs → Processes → Outcomes ★★★	16 R2: Getting to the bottom of destructive behaviours ★★
5 Why good people act unethically: 5 causes (Table 1.2) ★★★	11 Choosing a solution: resolve, solve or dissolve? ★	17 HR-OB success vs failure: Infosys vs Jet Airways ★
6 Indian ethics cases in the book: Satyam & Bank of Baroda ★★	12 Behavioural problems: diagnose, don't label ★★	

⚡ **Fast path (only 1–2 hours?):** read slides **5, 8, 9, 10, 14** first, then the rest.

Read top to bottom, column by column. ★★★ **must know: read first** ★★ **important** ★ **if time**

What is OB? The study of people at work

★★ IMPORTANT

📖 Book p.4

1 **OB studies how individuals, groups and the organisation's structure shape behaviour at work, to make organisations work better.**

2 3 LEVELS OF OB



3 KEY POINTS

1. **Robbins**: individuals, groups & structure → org effectiveness
2. **Luthans**: understand, predict, control behaviour
3. Draws on psychology, sociology, anthropology, political science
4. **Contingency approach**: no one best way, it depends on the situation

4 **IN THE EXAM:** Opening line for any 'why study OB' question: 60–80% of org problems come from strained relationships, not lack of skill.

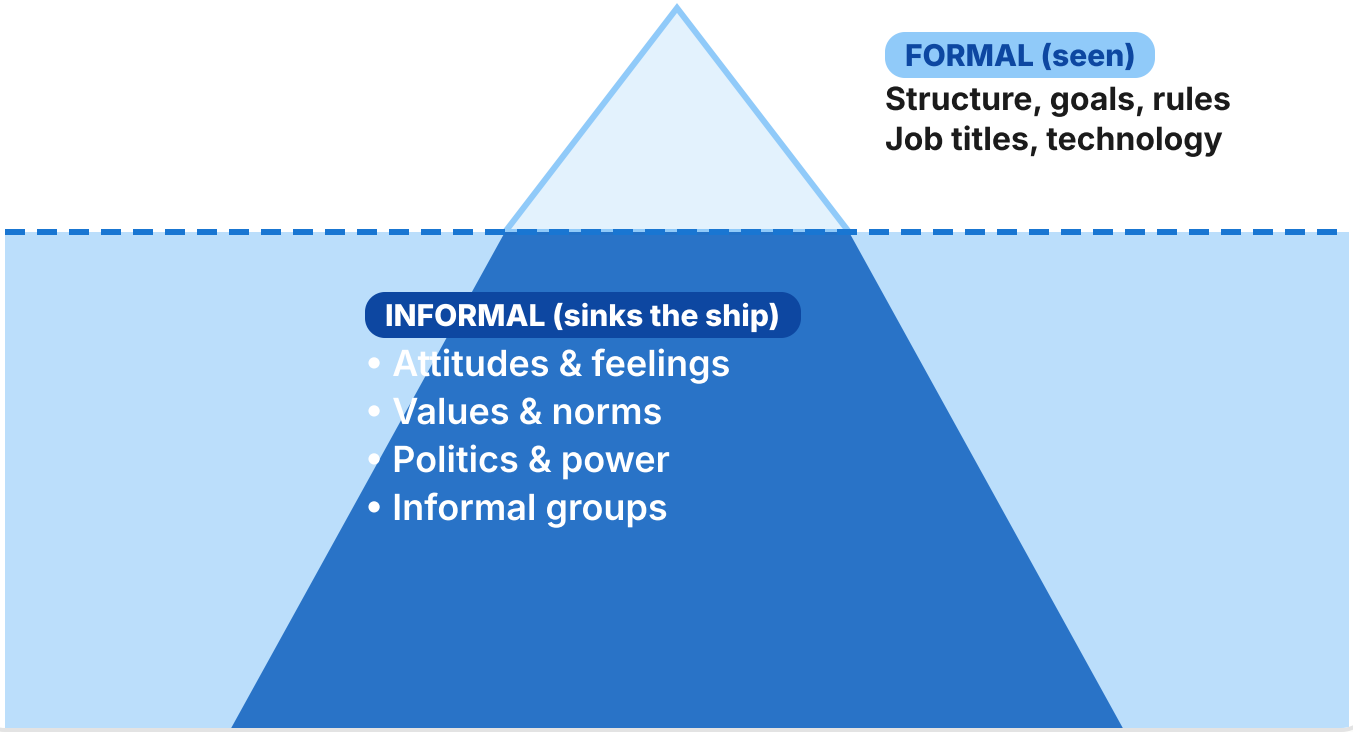
Why OB is NOT just common sense

★ GOOD TO KNOW

📖 Book p.7

1 **Common sense relies on hindsight and gut feel. OB uses evidence, so it sees what's hidden below the surface.**

2 THE ORGANISATIONAL ICEBERG



3 KEY POINTS

1. Common sense fails: **hindsight**, **no rigor**, **no objectivity**
2. Intuition = feeling not backed by research
3. Preconceived notions ≠ facts
4. The hidden part of the iceberg causes most problems

4 **IN THE EXAM:** Use to argue why a manager must diagnose (not guess) in a case.

What managers do + skills that get you promoted

★ GOOD TO KNOW

📖 Book p.8-10

1 **Managers get results THROUGH people. Technical skill gets you hired; people skill gets you promoted.**

2 POLC + SKILLS



Plan
set goals



Organise
assign tasks



Lead
motivate, resolve conflict



Control
monitor, correct



Technical skill
matters less as you rise



Human skill
matters more as you rise

3 KEY POINTS

1. 4 functions: **Plan, Organise, Lead, Control (POLC)**
2. Katz: **technical, human, conceptual** skills
3. Hired for technical skill; **promoted for managing people**
4. Soft skills = how you do it; hard skills = what you do

4 **IN THE EXAM:** Starbucks 'Alex' managed tasks, not people → team fell apart (people-management handout).

Ethics: why it matters for performance

★★ IMPORTANT

📖 Book p.11, 14, 16

1 **Unethical behaviour destroys trust and performance, and most of it is perfectly LEGAL, so the law won't protect you.**

2 4 IDEAS



Damages trust
harder to influence or do business



Hurts performance
less cooperation & loyalty



Unethical ≠ illegal
most unethical acts are legal



Ethical dilemma
2 choices, NEITHER is ethical

3 KEY POINTS

1. Employees face ethical challenges at every level
2. Indian cases: **Satyam, PNB (Nirav Modi), Kingfisher**
3. Dilemma example: #MeToo whistle-blowing
4. Good people + bad environment = misconduct

4 **IN THE EXAM:** Define 'ethical dilemma' word-for-word from p.16. Jet Airways collapse = OB-HR failure.

Why good people act unethically: 5 causes (Table 1.2)

★★★ MUST KNOW

📖 Book p.18

1 **Most unethical acts aren't done by villains. Bad goals, blind spots and slow drift push ordinary people over the line.**

2 THE 5 CAUSES



3 KEY POINTS

1. Each cause has an example + remedy in Table 1.2
2. Remedy for goals: think of side-effects; reward **process** not just results
3. Other causes: supervisor pressure, rewards, no consequences
4. Peer behaviour = strongest predictor of cheating

4 **IN THE EXAM:** Bank of Baroda app scam = ill-conceived goals. Satyam = slippery slope + overvaluing outcomes.

Indian ethics cases in the book: Satyam & Bank of Baroda

★★ IMPORTANT

📖 Book p.15, 17

1 **Both show the same pattern: pressure for numbers + nobody questioning it = scandal.**

2 THE STORIES

1	2	3	4
			
Satyam: chairman inflates revenue & cash for years	₹7,000 crore fake assets; stock falls 80%	Bank of Baroda: staff given aggressive app-signup targets	Staff add fake mobile numbers; RBI stops onboarding

3 KEY POINTS

1. Satyam (2009): slippery slope, motivated blindness
2. BoB (2023): ill-conceived goals + supervisor pressure
3. Fix: realistic goals, reward process, whistle-blower channels

4 **IN THE EXAM:** Strong Indian examples for any ethics or goal-setting question.

What YOU can do when you see unethical conduct

★ GOOD TO KNOW

📖 Book p.20

1 **Speaking up is part of the job. Frame it as business and bring a solution, not just a complaint.**

2 6 ACTIONS



Treat it as business



It's part of your job



Challenge the rationale



Use junior status

'I'm new, maybe I missed...'



Long-term consequences



Suggest a solution

3 KEY POINTS

1. 6 practical actions (p.20)
2. Useful in the RECOMMENDATIONS part of an ethics answer

4 **IN THE EXAM:** Recommendation paragraph: 'Employees should be encouraged to challenge the rationale and propose solutions (p.20)'.

The 3-Step Problem-Solving Approach

★★★ MUST KNOW

📖 Book p.21-22

1 **A problem = the GAP between what you want and what you have. Close it in 3 steps.**

2 THE 3 STEPS



1 DEFINE
desired vs actual. Ask 'why is this a problem?'

→



2 CAUSES
use OB theories. Ask 'why/how does this cause it?'

→



3 RECOMMEND
map each fix to a cause; act

3 KEY POINTS

1. Einstein: '59 minutes defining, 1 minute solving'
2. Don't jump to causes: start from facts
3. Ask 'why?' several times to reach the root cause
4. Good recommendations remove causes → problem disappears

4 **IN THE EXAM:** This IS the structure of your exam answers. Write the 3 steps as headings.

Person vs Situation: two sources of every behaviour

★★★ MUST KNOW

📖 Book p.24-25

1 **Behaviour comes from the PERSON (traits, values) interacting with the SITUATION (boss, job, culture). Always check both.**

2 TWO SOURCES



PERSON factors

- Personality
- Values & attitudes
- Skills & intelligence
- Emotions

×



SITUATION factors

- Manager & leadership
- Job design & rewards
- Culture & coworkers
- Economy, family

3 KEY POINTS

1. **Interactional perspective**: behaviour = person × situation
2. People change situations; situations change people
3. Managers control situation factors more easily

4 **IN THE EXAM:** In a case, list causes under two headings: person and situation. Instant structure!

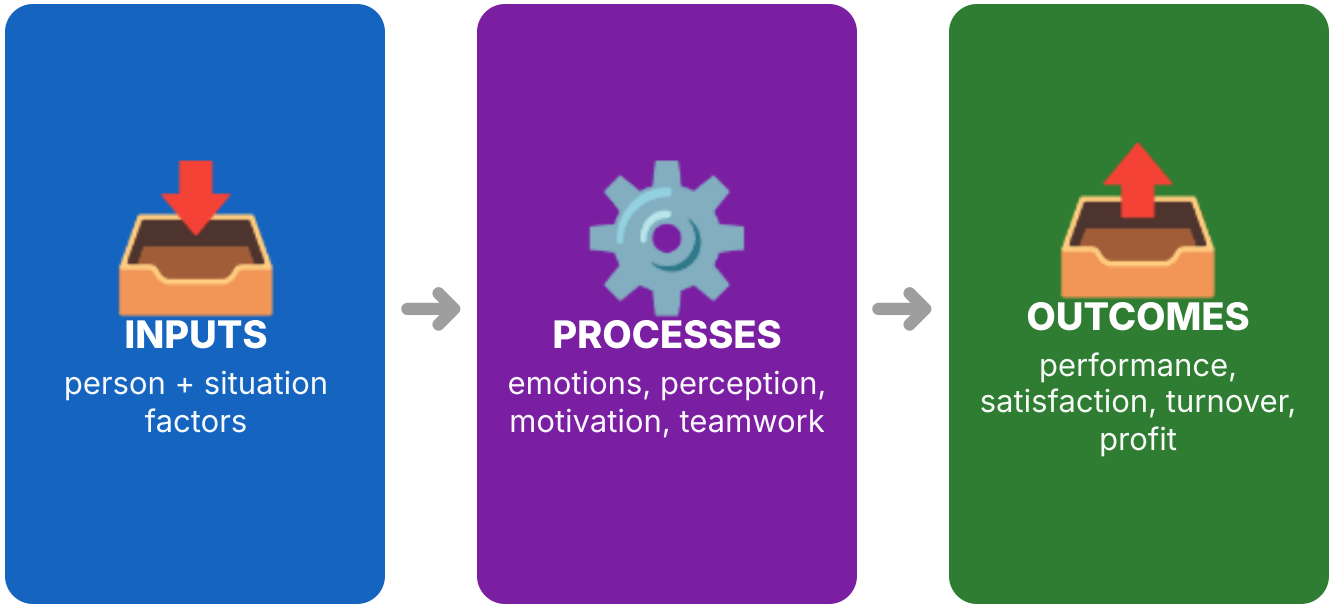
The Organizing Framework: Inputs → Processes → Outcomes

★★★ MUST KNOW

📖 Book p.27

1 **Every OB topic fits one box: INPUTS cause PROCESSES, which produce OUTCOMES. Problems show up as outcomes; causes hide in inputs and processes.**

2 THE FRAMEWORK



3 KEY POINTS

1. 3 levels: individual, group/team, organisation
2. Feedback loop: today's outcomes are tomorrow's inputs
3. Problem = gap in an OUTCOME
4. Causes = INPUTS or PROCESSES

4 **IN THE EXAM:** Draw this 3-box diagram in a long answer to show structure. Mars Inc. (p.28) is the book's example.

Choosing a solution: resolve, solve or dissolve?

★ GOOD TO KNOW

📖 Book p.30

1 **Decide how ambitious your fix is: quick patch, ideal fix, or remove the problem entirely.**

2 3 LEVELS OF FIX



RESOLVE
temporary 'doughnut' spare tyre

→



SOLVE
proper new full-size tyre

→



DISSOLVE
public transport: no car needed

3 KEY POINTS

1. Then judge options on: criteria (profit, people, ethics)
2. consequences (who wins/loses)
3. choice process (you, team, 3rd party)

4 **IN THE EXAM:** Say in your answer: 'I recommend we SOLVE (not just resolve) this by...' Sounds analytical.

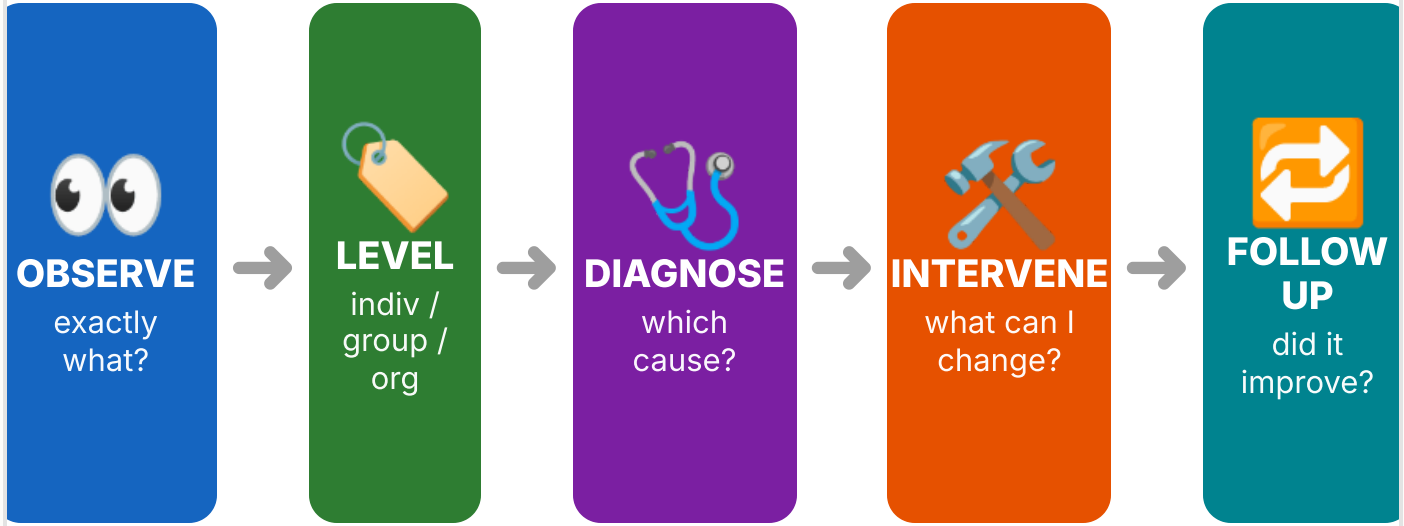
Behavioural problems: diagnose, don't label

★★ IMPORTANT

📖 Book Handout

1 **'He's lazy' is a label, not a diagnosis. The same behaviour can have many causes. Find the cause first.**

2 5-STEP DIAGNOSIS



3 KEY POINTS

1. Individual: absenteeism, low motivation
2. Group: conflict, gossip, blame
3. Organisation: resistance to change, politics, silence
4. 'Lazy' employee? check perception, rewards, emotions, boss, culture

4 **IN THE EXAM:** Key line: 'Behaviour management begins with diagnosis, not blame.'

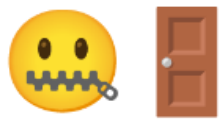
People management: Starbucks manager 'Alex'

★★ IMPORTANT

📖 Book Handout

1 **Alex managed tasks and ignored people. Public criticism killed trust, and the team, and the numbers, collapsed.**

2 THE STORY

1	2	3	4
			
Long queues; Alex pushes targets	Publicly criticises mistakes	Staff go silent; experienced staff quit	Complaints rise; 'why isn't the team performing?'

3 KEY POINTS

1. Task focus: 'Work faster' vs people focus: 'What is causing the delay?'
2. Fix: private feedback, coaching, recognition, listen
3. Track people metrics too: absenteeism, engagement

4 **IN THE EXAM:** Links: EI (empathy), justice (interactional), engagement, turnover.

R1: Indiana Dept. of Revenue: a culture turnaround

★★★ MUST KNOW

📖 Book Reading R1

1 **A rigid, fearful tax office became a Top-100 US workplace WITHOUT higher pay, by changing how leaders treat people.**

2 **BEFORE vs AFTER**



BEFORE (2012)

- $526M tax errors
- Time clocks, docked pay
- Locked doors, micromanaging
- 'Keep your head down'

→



AFTER (2023)

- Top-100 US workplace
- >90% customer satisfaction
- $100M IT project on time
- Fun = core value #1

3 **KEY POINTS**

1. New leaders Krupp & Grennes: **Respect, Trust, Caring**
2. Treat people as people, taxpayers as customers
3. Walk the floors, ask 'what do you need?', fix small things
4. Simple mission: 'Pyramid of Excellence'

4 **IN THE EXAM:** Use for: workplace effectiveness, culture, motivation without money (Herzberg, SDT), positive OB.

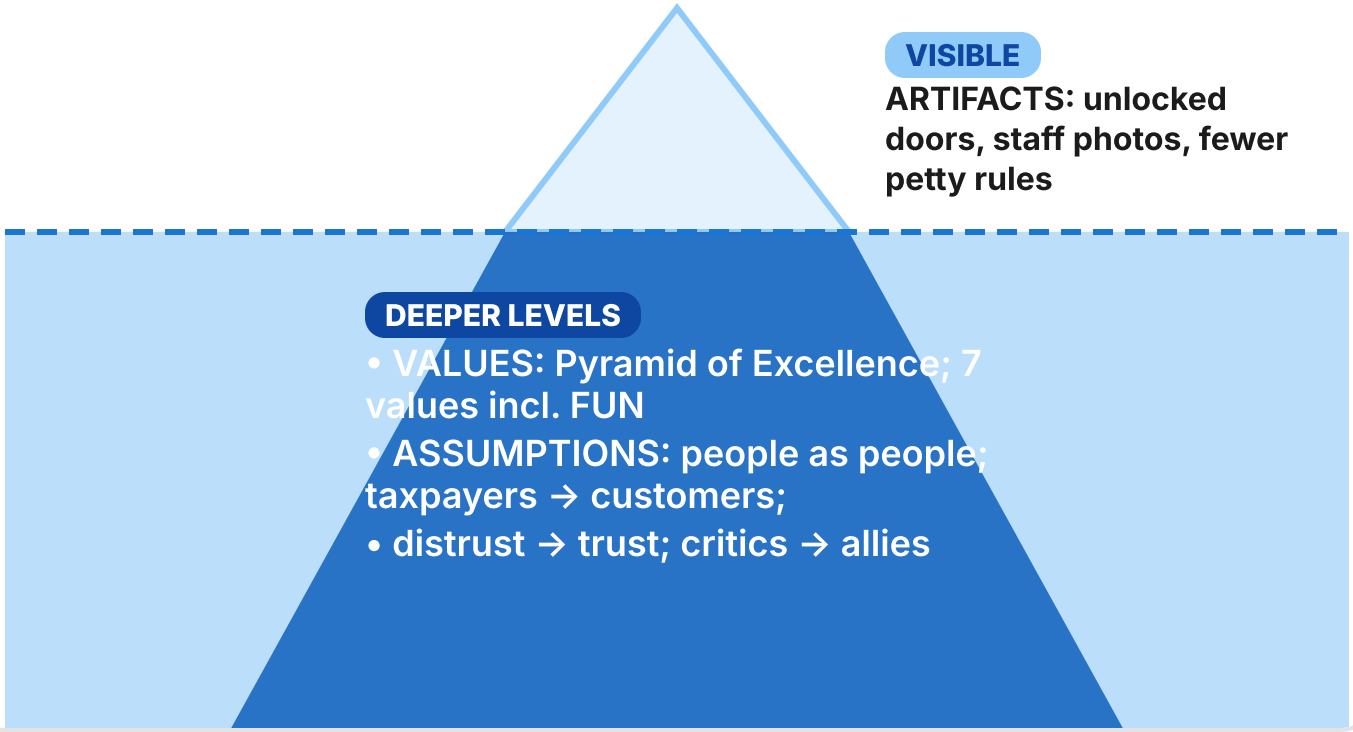
R1: Schein's 3 levels of culture (how DOR changed)

★★ IMPORTANT

📖 Book Reading R1

1 **Real culture change works on all 3 levels, especially the hidden assumptions at the bottom.**

2 CULTURE ICEBERG



3 KEY POINTS

1. Also: **Pfeffer's 7 people practices** (security, selective hiring, training, info sharing, teams, fewer status gaps, pay)
2. DOR couldn't raise pay → used intrinsic motivators
3. Heifetz: **adaptive** change (mindsets), not just technical fixes

4 **IN THE EXAM:** Answer line: 'DOR changed artifacts, values AND assumptions (Schein), which is why it lasted.'

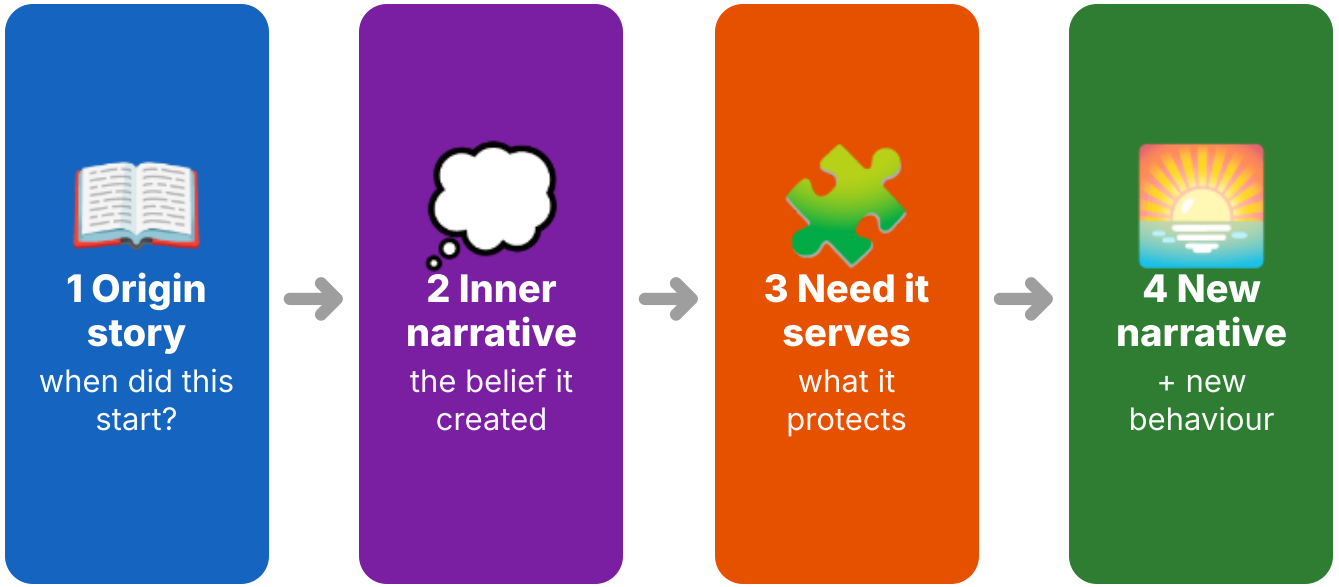
R2: Getting to the bottom of destructive behaviours

★★ IMPORTANT

📖 Book Reading R2

1 **Some bad habits survive coaching because they protect an old wound. Find the 'origin story' to change them.**

2 CARUCCI'S 4 STEPS



3 KEY POINTS

1. Change needs the WILL (motivation) + the WAY (skills)
2. Trauma (amygdala) can block both
3. Andy: mocked as a child → talks non-stop to look smart
4. New story: 'I am liked, smart, and safe even in silence'

4 **IN THE EXAM:** Use for: behavioural problems, emotions, leadership development questions.

HR-OB success vs failure: Infosys vs Jet Airways

★ GOOD TO KNOW

📖 Book Handout

1 **Same country, same era: one invested in people and grew; one ignored them and collapsed.**

2 **SUCCESS vs FAILURE**



INFOSYS

- Learning platform (Lex)
- Clear career paths
- Well-being apps, open grievance
- First Indian co. on NASDAQ

VS



JET AIRWAYS

- Poor communication
- Unfair, delayed salaries
- No change mgmt vs IndiGo
- Shut 2019; 20,000 jobless

3 **KEY POINTS**

1. Shows OB/HR practices drive business results
2. Jet = psychological contract breach

4 **IN THE EXAM:** Quick Indian contrast for 'why OB matters' questions.

Module 2 roadmap: Values & Attitudes

★ **Values (deep beliefs) shape attitudes (feelings about specific things), which shape behaviour. Job satisfaction is the key attitude.**

1 The big chain: values → attitudes → behaviour ★★★	6 Cognitive dissonance: when beliefs and actions clash ★★	11 Perceived organisational support (POS) ★
2 Values: what they are and where they come from ★★	7 Ajzen's Theory of Planned Behaviour: why intention predicts action ★	12 Job satisfaction: its 5 causes ★★★
3 Schwartz's 10 values: a circle of agreement & conflict ★★★	8 The 4 workplace attitudes managers track ★★★	13 What job satisfaction leads to (10 outcomes) ★★★
4 Culture lenses: Hofstede & GLOBE (class slides) ★★	9 Commitment & the psychological contract ★★	14 OCB vs CWB: the good citizen and the saboteur ★★
5 Attitudes have 3 parts: Feel, Believe, Intend (ABC) ★★★	10 Employee engagement: giving your all ★★	15 Is job satisfaction real or a myth? McKinsey 'Great Attrition' ★★★

⚡ **Fast path (only 1–2 hours?):** read slides **1, 3, 5, 8, 12, 13, 15** first, then the rest.

Read top to bottom, column by column. ★★★ **must know: read first** ★★ **important** ★ **if time**

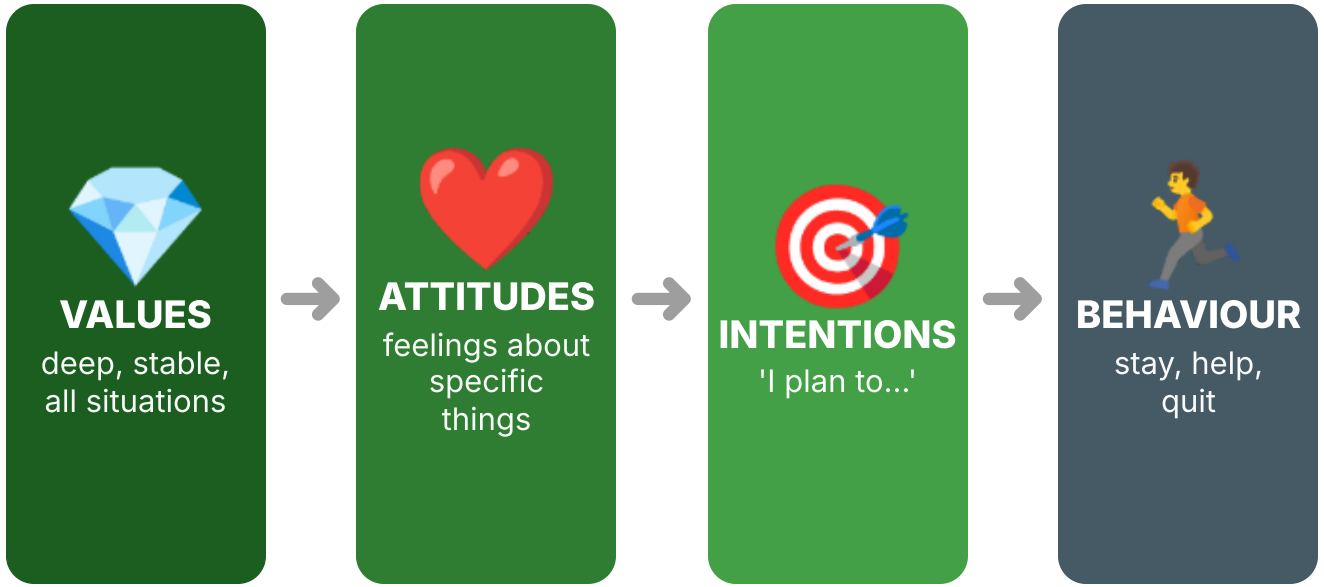
The big chain: values → attitudes → behaviour

★★★ MUST KNOW

📖 Book p.41, 47

1 **What you deeply value shapes how you feel about your job, which shapes what you do: stay, help, slack off or quit.**

2 THE CHAIN



3 KEY POINTS

1. Values = global, all situations
2. Attitudes = specific (my boss, my pay)
3. Attitudes affect behaviour **through intentions**
4. Workplace attitudes = OUTCOMES managers track

4 **IN THE EXAM:** Diagnose any case: which value is clashing? which attitude dropped? what behaviour followed?

Values: what they are and where they come from

★★ IMPORTANT

📖 Book p.43

1 **Values are abstract ideals that guide your thinking and behaviour in EVERY situation. They're stable and often unconscious.**

2 SOURCES OF VALUES

- 👨‍👩‍👧 **Parents & family**
- 🧒 **Childhood experiences**
- 🛕 **Religion / spirituality**
- 🌏 **Culture & society**
- 🎓 **Education**
- 🔒 **Stable over time** — change only with big events

3 KEY POINTS

1. **Rokeach**: terminal values (end goals) vs instrumental values (means)
2. Value system = your personal ranking of values
3. Values vary across generations and cultures
4. Person–org value fit → commitment, retention

4 **IN THE EXAM:** Line to quote: 'Values are abstract ideals that guide our thinking and behavior across all situations' (p.43).

Schwartz's 10 values: a circle of agreement & conflict

★★★ MUST KNOW

📖 Book p.43-45

1 **People hold 10 basic values arranged in a circle: values next to each other fit together, values opposite each other pull against each other.**

2 THE VALUES WHEEL



3 KEY POINTS

1. **Self-transcendence** (others) vs **self-enhancement** (me)
2. **Openness to change** vs **conservation** (stability)
3. Behaviour depends on the RELATIVE importance of opposing values
4. Managers: give tasks that fit each person's values

4 **IN THE EXAM:** Ex: an achievement-driven employee loves a ranking system; a benevolence-driven one hates it.

Culture lenses: Hofstede & GLOBE (class slides)

★★ IMPORTANT

📖 Book Class PPT

1 **Countries differ in shared values. These frameworks are lenses for understanding teams, NOT stereotypes for individuals.**

2 HOFSTEDE'S 6



Power distance
accept unequal power?



Individualism vs collectivism
me or we?



Uncertainty avoidance
need rules?



Masculinity vs femininity
compete or care?



Long-term orientation
plan for future?



Indulgence vs restraint
enjoy or control?

3 KEY POINTS

1. **Hofstede = 6 dimensions** (country level)
2. **GLOBE = 9 culture dims + 6 leader styles**; 'as is' vs 'should be'
3. **Schwartz** = individual values
4. Use as hypotheses, never stereotypes

4 **IN THE EXAM:** Multicultural team question: power distance affects participation; collectivism affects team vs individual rewards.

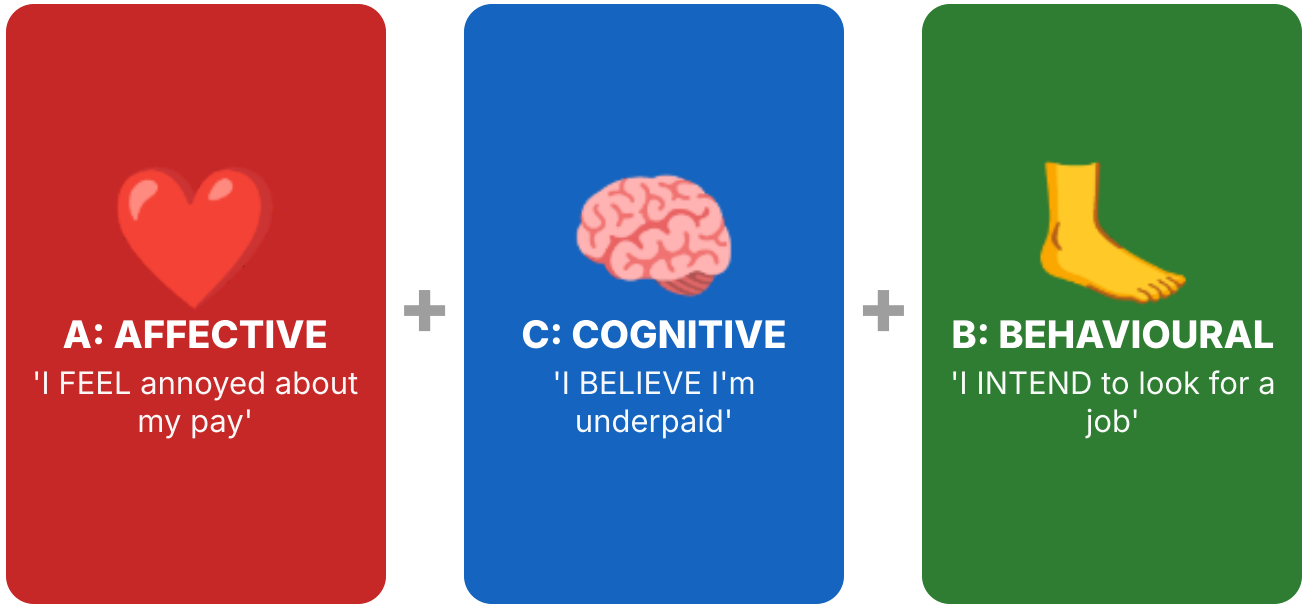
Attitudes have 3 parts: Feel, Believe, Intend (ABC)

★★★ MUST KNOW

📖 Book p.47, 49

1 **An attitude is your feeling/opinion about something specific, made of an emotion, a belief and an intention to act.**

2 THE ABC



3 KEY POINTS

1. Values = global; attitudes = specific targets
2. All 3 parts influence behaviour
3. Personal attitudes = inputs; workplace attitudes = outcomes

4 **IN THE EXAM:** Break any employee reaction in a case into A, B, C. Orix staff: feel undervalued → believe pay matters → intend to leave?

Cognitive dissonance: when beliefs and actions clash

★★ IMPORTANT

📖 Book p.50

1 **Holding two conflicting thoughts (or acting against your values) feels uncomfortable, so we change something to feel consistent.**

2 CLASH → FIX



THE CLASH

- Megan values helping others
- ...but helping Rob costs her the $500 prize
- = psychological discomfort

→



3 WAYS TO REDUCE IT

- 1 Change attitude or behaviour
- 2 Belittle its importance
- 3 Find reasons that outweigh it

3 KEY POINTS

1. Festinger's theory
2. People rationalise unethical acts this way
3. Also explains reactions to unfairness (equity theory)

4 **IN THE EXAM:** Bank of Baroda staff: target pressure vs honesty → dissonance → rationalising fake entries.

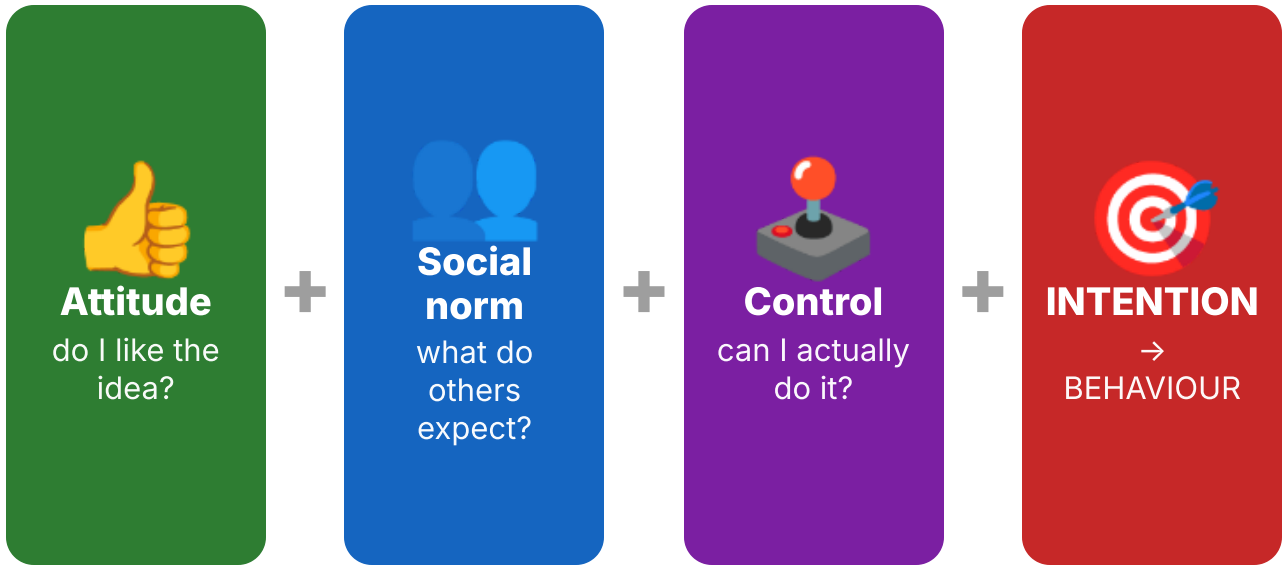
Ajzen's Theory of Planned Behaviour: why intention predicts action

★ GOOD TO KNOW

📖 Book p.50-52

1 The best predictor of what someone will do is what they INTEND, and intention comes from 3 things.

2 3 DRIVERS → INTENTION



3 KEY POINTS

1. To change behaviour, change these 3 drivers
2. Want to know if someone will quit? Ask their intention
3. McDonald's harassment strike is the book's case

4 IN THE EXAM: Use when asked how to change employee behaviour.

The 4 workplace attitudes managers track

★★★ MUST KNOW

📖 Book p.53

1 **Four attitudes tell a manager how the organisation is doing: commitment, engagement, perceived support and job satisfaction.**

2 THE 4 ATTITUDES



Org commitment
I identify with this org & want to stay



Engagement
I give my ALL to my work



Perceived org support
the org values me & cares



Job satisfaction
I like my job (its facets)

3 KEY POINTS

1. These are OUTCOMES in the framework
2. Low ones predict low performance & high turnover
3. Facebook: non-survey-takers 2.6× more likely to quit
4. Next 3 slides take each in turn

4 **IN THE EXAM:** Step 1 of any answer: name which of these 4 attitudes is low in the case.

Commitment & the psychological contract

★★ IMPORTANT

📖 Book p.54-55

1 **People commit when their values fit the organisation AND the organisation keeps its unwritten promises.**

2 KEPT vs BROKEN



CONTRACT KEPT

- Southwest: no layoffs ever
- DOR: fixed chairs, listened
- → commitment, loyalty

VS



CONTRACT BROKEN

- Jet Airways: salaries unpaid
- → low commitment, strikes, exits

3 KEY POINTS

1. **Psychological contract** = what I believe I'm owed in return for what I give
2. Breach → lower commitment, satisfaction, performance; more quitting
3. Build commitment: hire for value fit, keep promises, be fair

4 **IN THE EXAM:** Quote the psychological-contract definition (p.54) for any trust/loyalty question.

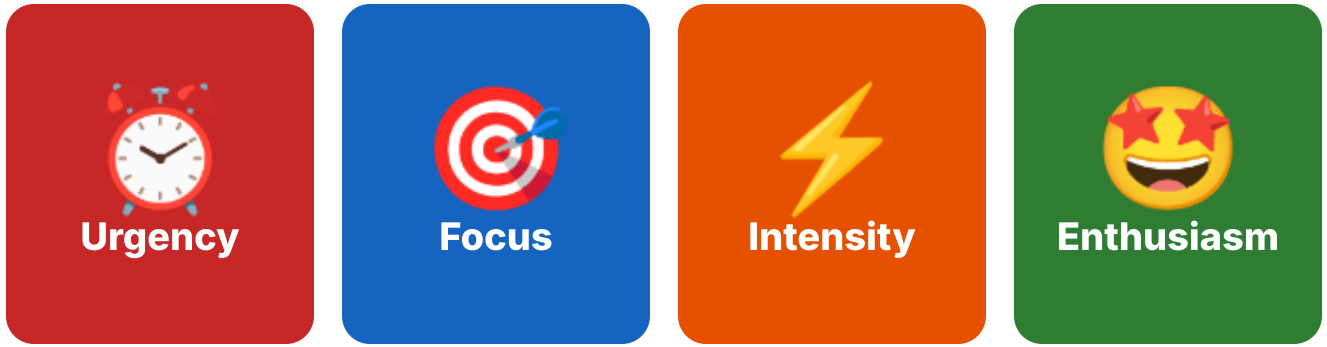
Employee engagement: giving your all

★★ IMPORTANT

📖 Book p.55-57

1 **Engaged people throw themselves into work physically, mentally and emotionally, and it shows in profit.**

2 4 FEELINGS



Gallup: engaged orgs → +10% loyalty · +20% productivity · +21% profit

Drivers: good job design · supportive boss · positive climate · few stressors

3 KEY POINTS

1. Kahn's definition (1990)
2. Indian examples: TCS upskilling, Tata Motors 59%→71%, Hindalco
3. Ritz-Carlton hires on 12 values → turnover 28% vs 55%

4 **IN THE EXAM:** Orix's retreats and DOR's 'fun' value are engagement tools.

Perceived organisational support (POS)

★ GOOD TO KNOW

📖 Book p.58

1 **When people believe the organisation genuinely cares about them, they pay it back with effort (norm of reciprocity).**

2 HOW POS WORKS



3 KEY POINTS

1. Fostered by fairness, job security, no abusive bosses
2. REI: profit-sharing, health subsidies, discounts

4 **IN THE EXAM:** Southwest open books + no layoffs = high POS.

Job satisfaction: its 5 causes

★★★ MUST KNOW

📖 Book p.59-61

1 **Job satisfaction = how much you like your job. It comes from 5 sources: test all 5 when diagnosing a case.**

2 5 CAUSES

1 Need fulfilment
job meets my needs

2 Met expectations
I got what I was promised

3 Value attainment
job fits my values

4 Equity
I'm treated fairly

5 Disposition
~30% is personality/genes

= JOB SATISFACTION
an emotional response to job facets

3 KEY POINTS

1. Definition: affective response toward **facets** of your job
2. Measured overall OR by facet (JDI: work, pay, promotion, coworkers, boss)
3. Table 2.4 (p.60) lists how managers boost each cause

4 **IN THE EXAM:** Orix: survey wanted raises = expectations/equity. DOR: satisfied despite low pay = value attainment.

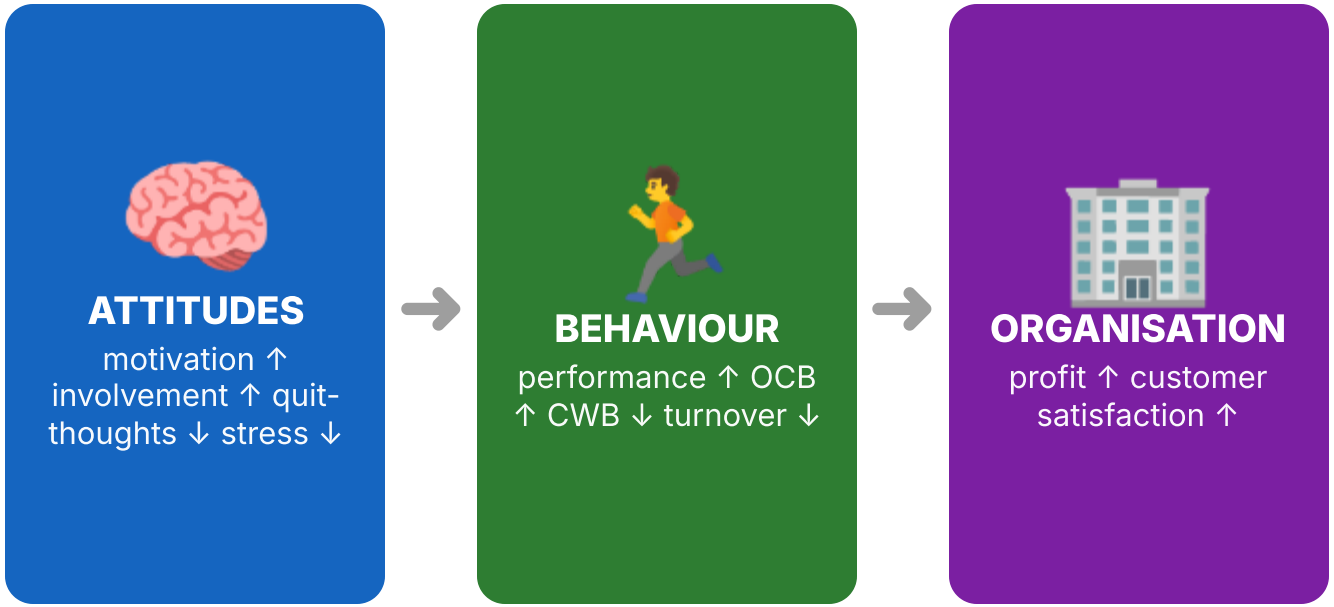
What job satisfaction leads to (10 outcomes)

★★★ MUST KNOW

📖 Book p.63-68

1 **Satisfaction matters because it changes behaviour: more helping, less harm, fewer quits, happier customers.**

2 4 + 4 + 2 OUTCOMES



3 KEY POINTS

1. Performance link is **moderate & complex**
2. **OCB** = voluntary helping, not formally rewarded
3. **CWB** = harmful acts (theft, bullying, gossip)
4. **Spillover**: happy staff → happy customers

4 **IN THE EXAM:** Southwest: happy employees → best customer service (spillover).

OCB vs CWB: the good citizen and the saboteur

★★ IMPORTANT

📖 Book p.65-67

1 **Satisfied employees go the extra mile (OCB). Dissatisfied ones may quietly harm the organisation (CWB).**

2 OCB vs CWB



OCB (citizenship)

- Helping & training newcomers
- Suggestions for improvement
- Caring for property
- Punctual beyond rules

VS



CWB (counterproductive)

- Theft, fake invoices
- Bullying, gossip, harassment
- India: absenteeism, nepotism, caste bias
- Time theft, sabotage

3 KEY POINTS

1. OCB is voluntary and adds up across people
2. CWB has a strong negative link with satisfaction
3. Reduce CWB: careful hiring, satisfying jobs, remove abusive bosses, act fast

4 **IN THE EXAM:** Starbucks blame-shifting and BoB fake entries are CWB; Southwest's volunteering is OCB.

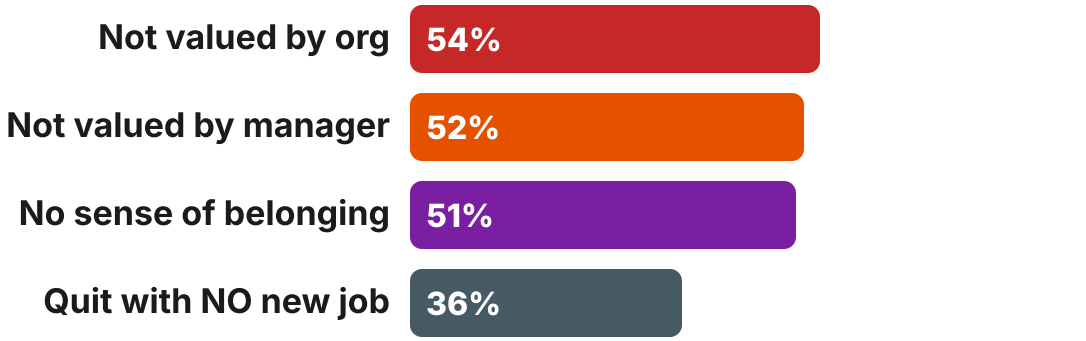
Is job satisfaction real or a myth? McKinsey 'Great Attrition'

★★★ MUST KNOW

📖 Book Handout + p.68

1 **People don't quit mainly over pay. They quit because they don't feel valued or don't belong.**

2 WHY PEOPLE QUIT (%)



Employers wrongly assumed: **pay, work-life balance, health**

3 KEY POINTS

1. **Relational** (feel valued) > **transactional** (pay, perks)
2. Fix: listen, strengthen managers, career paths, community, flexible benefits
3. Verdict for the essay: satisfaction is REAL and measurable, but money alone won't buy it

4 **IN THE EXAM:** Use with DOR (high satisfaction, low pay) and Orix (culture > cash).

Module 3 roadmap: Emotions & Social Perception

★ **Part A: how emotions shape work (EI, emotions, R3, Prudence). Part B: how we see and judge others (perception, stereotypes, attribution, Yelp).**

1. Emotional Intelligence (EI): 4 skills ★★★
2. Low EI in action: Uber's Travis Kalanick ★★
3. Emotions: felt vs displayed; positive vs negative ★★
4. Anger looks back, fear looks forward ★★
5. R3: Treat resistance to change as DATA, not defiance ★★★
6. Case 7: Prudence in a maze of metaphors ★★★
7. Perception: we act on what we SEE, not on reality ★★★
8. What shapes how we see a person (Figure 4.3) ★★
9. Implicit bias in hiring & appraisal ★★★
10. Stereotypes: how they form and how to break them ★★★
11. Attribution: is it the PERSON or the SITUATION? (Kelley) ★★★
12. Two biases: blaming others, crediting ourselves ★★
13. Case 8: Yelp: where bias enters the hiring funnel ★★★

⚡ **Fast path (only 1–2 hours?):** read slides **1, 5, 6, 7, 9, 10, 11, 13** first, then the rest.

Read top to bottom, column by column. ★★★ **must know: read first** ★★ **important** ★ **if time**

Emotional Intelligence (EI): 4 skills

★★★ MUST KNOW

📖 Book p.105-106

1 **EI = noticing and managing emotions: your own (personal) and other people's (social).**

2 THE 2 × 2



Self-awareness
know my emotions & limits



Self-management
control impulses, adapt



Social awareness
empathy, read the room



Relationship mgmt
influence, resolve conflict, teamwork

3 KEY POINTS

1. Goleman's 4 domains (Table 3.6 lists the sub-skills)
2. Top row = personal competence; bottom row = social competence
3. EI can be developed, unlike IQ
4. But EI is NOT the biggest driver of performance (p.110)

4 **IN THE EXAM:** Starbucks 'Alex' and Uber's Kalanick lacked empathy (social awareness) → toxic teams.

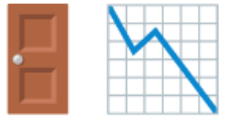
Low EI in action: Uber's Travis Kalanick

★★ IMPORTANT

📖 Book p.107-108

1 **A brilliant founder with little empathy built a toxic culture, then blamed others for it.**

2 THE STORY

1	2	3	4
			
Argues with an Uber driver; blames him	Calls scandals a 'PR problem', not culture	Bullying, retaliation against complainers	Execs quit; he's ranked last among tech CEOs

3 KEY POINTS

1. Traits: grandiose, no empathy, arrogant, entitled
2. Indian research: **Dark Triad** (Machiavellianism, narcissism, psychopathy)
3. Moderate levels can help performance; high levels hurt

4 **IN THE EXAM:** Answer: problem = toxic culture; cause = low EI + dark traits + blaming others (FAE); fix = coaching, 360° feedback, change leader.

Emotions: felt vs displayed; positive vs negative

★★ IMPORTANT

📖 Book p.111-112

1 **Emotions are short reactions to something specific. What you FEEL and what you SHOW can differ, and goals decide which emotion you get.**

2 TYPES OF EMOTION



Positive
goal achieved: joy, pride, relief



Negative
goal blocked: anger, fear, guilt, envy



Mixed
promotion... but must relocate



Felt vs displayed
feel angry, show calm

3 KEY POINTS

1. Emotions communicate and motivate
2. Bigger goal → stronger emotion
3. Procrastination = coping with anxiety (p.112)
4. Display norms: what emotions are OK to show at work

4 **IN THE EXAM:** Prudence feels exhaustion & self-doubt (negative, goal-blocking).

Anger looks back, fear looks forward

★★ IMPORTANT

📖 Book p.113

1 **After a change, angry people are upset about what HAPPENED; fearful people worry about what MIGHT happen. Treat them differently.**

2 PAST vs FUTURE



ANGER (Shelby)

- About the PAST
- 'The layoff process was unfair'
- → explain & fix fairness of process

VS



FEAR (Jennifer)

- About the FUTURE
- 'Am I next?'
- → reduce uncertainty, communicate

3 KEY POINTS

1. Both survived a 15% downsizing
2. Anger at issues (not people) can help
3. Shame/anger from feedback → CWB

4 **IN THE EXAM:** Links to R3: 'anxiety' resistance = fear. Procedural justice handles anger.

R3: Treat resistance to change as DATA, not defiance

★★★ MUST KNOW

📖 Book Reading R3

1 **When people push back on change, they're telling you something. Find out which of 4 things it is before reacting.**

2 4 KINDS OF RESISTANCE



LOSS

'What am I losing?' → name it, honour the old way



ANXIETY

'What happens to me?' → repeat messages, admit unknowns



LACK OF CONTROL

'Why is this done TO me?' → involve early, co-create



REAL FLAWS

'This won't work' → get curious, adapt plan

3 KEY POINTS

1. Leader traps: personalising, moralising, rushing
2. Pushing harder drives resistance underground
3. Beware 'faux-inclusion' (asking after deciding)
4. Then **hold the line** on behaviour, kindly but firmly

4 **IN THE EXAM:** Labelling resisters 'difficult' = fundamental attribution bias. Use with procedural justice & voice (Ch 5).

Case 7: Prudence in a maze of metaphors

★★★ MUST KNOW

📖 Book Case 7

1 **One working mother's day shows every hidden barrier women face, each with a name.**

2 PRUDENCE'S DAY

1	2	3	4	5
				
STICKY FLOOR at home; LEAKY PIPELINE train loses women	GLASS CEILING above; asked to climb the GLASS CLIFF	QUEEN BEE: 'earn your stripes'; MANSPLAINING colleague	DOUBLE BIND signs; MOTHERHOOD PENALTY	SECOND SHIFT at home; IMPOSTER SYNDROME at night

3 KEY POINTS

1. Intersectionality: overlapping disadvantages
2. The 'maze' = many barriers over a whole career
3. OB lenses: stereotypes, attribution, emotions, values conflict

4 **IN THE EXAM:** Answer: problem = talent loss (leaky pipeline); causes = stereotypes + double bind (situation), imposter syndrome (person); fix = flexible work, sponsorship, fair appraisal.

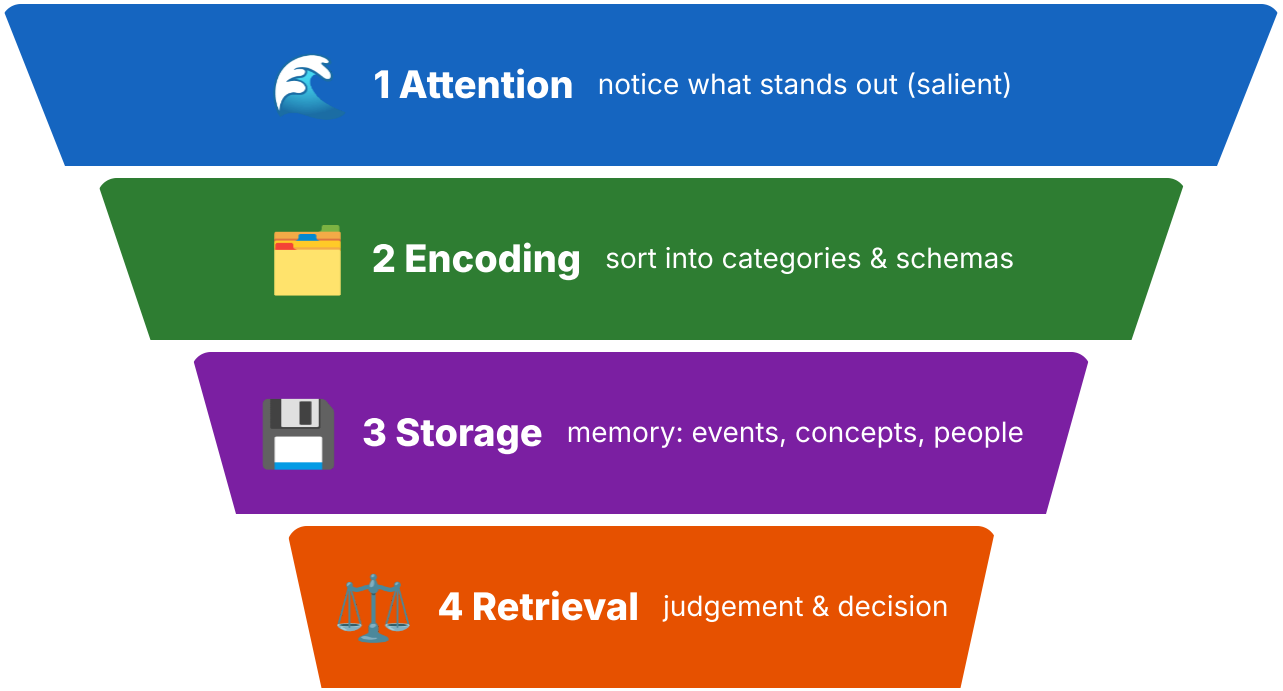
Perception: we act on what we SEE, not on reality

★★★ MUST KNOW

📖 Book p.126-128

1 **Our brain filters a flood of information in 4 stages, so two people can 'see' the same employee very differently.**

2 4 STAGES



3 KEY POINTS

1. Perception = interpreting our surroundings
2. **Schema** = mental picture (red 2-door = sports car)
3. Perception drives hiring, appraisals, promotions
4. Rahul (Indian PSU, p.125): great work, invisible → passed over

4 **IN THE EXAM:** Use for any bias/promotion/hiring question: 'perception, not performance, drove the decision'.

What shapes how we see a person (Figure 4.3)

★★ IMPORTANT

📖 Book p.128-130

1 **Perception depends on 3 things: who's looking, who's being looked at, and the situation.**

2 **3 INGREDIENTS**



PERCEIVER (6)
needs, experience, stereotypes, mood, tiredness

+



TARGET (5)
looks, dress, gaze, body language

+



SITUATION (2)
context, culture match

3 **KEY POINTS**

1. Tired/overloaded perceivers stereotype more
2. 'Beauty is good' bias favours attractive people
3. Culture differences cause misreadings

4 **IN THE EXAM:** Explain why a manager misjudged someone: perceiver bias + target cues + context.

Implicit bias in hiring & appraisal

★★★ MUST KNOW

📖 Book p.131-132

1 **Implicit cognition = automatic beliefs we don't notice, which quietly bias hiring and ratings.**

2 BIAS → FIX



THE BIAS

- Women called 'caring', men 'decisive'
- Recruiters open men's profiles more
- Unstructured 'culture fit' chats

VS



THE FIXES (3)

- 1 Train people to spot bias
- 2 Structured interviews (same Qs)
- 3 Multiple interviewers
- + blind / virtual interviews

3 KEY POINTS

1. Appraisal fix: objective measures, performance diary
2. Female CEOs succeed when predecessors are gender-neutral 'gatekeepers'

4 **IN THE EXAM:** Core page for YELP: audio screens reveal gender, onsite 'culture fit', clone deciders → structured, blind, diverse panels.

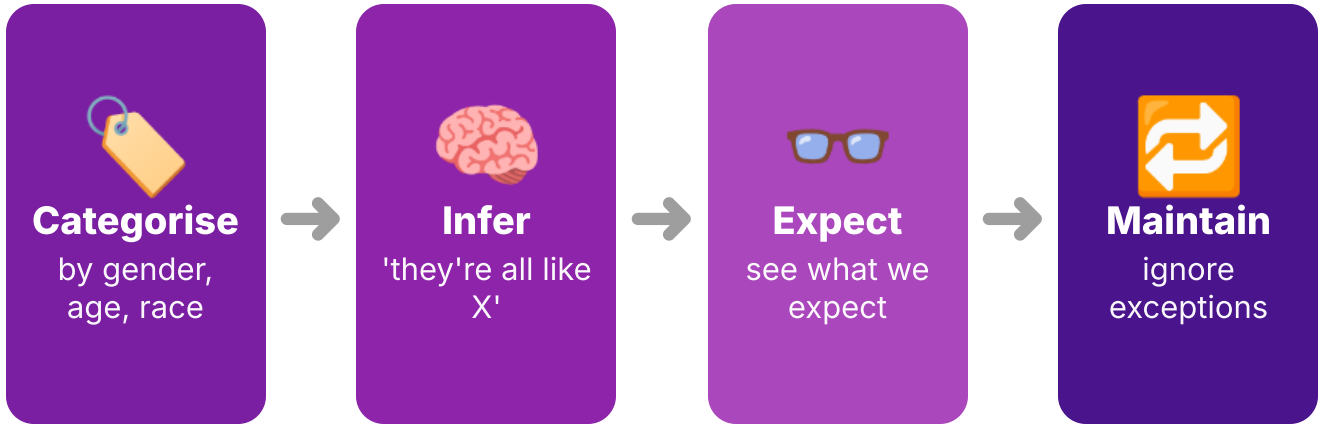
Stereotypes: how they form and how to break them

★★★ MUST KNOW

📖 Book p.133-134

1 **A stereotype is a belief that all members of a group share the same traits. It forms in 4 steps and is fixed by contact and awareness.**

2 4 STEPS + 3 FIXES



...and 3 ways to break them:

FIX 1 Educate **FIX 2 Equal-status teamwork** **FIX 3 Self-awareness**

3 KEY POINTS

1. Can be positive or negative, accurate or not
2. Evidence: gender, race, age (older workers myth refuted)
3. Anonymous hiring removes names/photos

4 **IN THE EXAM:** Prudence (double bind, motherhood penalty) and Yelp (tech-bro hiring) are stereotype cases.

Attribution: is it the PERSON or the SITUATION? (Kelley)

★★★ MUST KNOW

📖 Book p.135-136

1 **To judge why someone did badly, ask 3 questions. The answers tell you whether to blame the person or fix the situation.**

2 3 QUESTIONS



CONSENSUS
Do others do the same?



DISTINCTIVENESS
Only on this task?



CONSISTENCY
Always like this?



PERSON (internal)
LOW · LOW · HIGH



SITUATION (external)
HIGH · HIGH · LOW



Manager acts
effort → reprimand;
ability → training

3 KEY POINTS

1. Internal = ability, effort
2. External = task, luck, resources
3. Table 4.2 (p.136) gives the pattern
4. Performance = person × situation

4 **IN THE EXAM:** R3's 'knee-jerk resisters' and Prudence's boss both wrongly blame the person.

Two biases: blaming others, crediting ourselves

★★ IMPORTANT

📖 Book p.137

1 **We over-blame other people's character, and we take credit for our wins while blaming luck for our losses.**

2 TWO BIASES



FUNDAMENTAL ATTRIBUTION BIAS

- Others fail = 'they're lazy'
- We ignore the situation
- → unfair appraisals

VS



SELF-SERVING BIAS

- I succeed = 'I'm smart'
- I fail = 'bad luck / unfair test'
- → no learning

3 KEY POINTS

1. Fix: remember behaviour = person × situation
2. Attributing failure to low ability → people give up

4 **IN THE EXAM:** Kalanick blamed drivers (FAE). Managers labelling resisters 'difficult' (R3) = FAE.

Case 8: Yelp: where bias enters the hiring funnel

★★★ MUST KNOW

📖 Book Case 8

1 **Yelp's tech team was ~90% male. Rachel Williams had to find WHERE bias crept in and fix hiring + inclusion.**

2 THE HIRING FUNNEL



3 KEY POINTS

1. 2014: Yelp ~10% women in tech; 4% Black
2. Rachel: 2-month listening tour
3. Fixes: structured interviews, blind screens, diverse panels, ERGs, track data per stage
4. Diversity ≠ inclusion: people must feel safe being themselves

4 **IN THE EXAM:** Theories: perception stages, implicit cognition (p.131), stereotypes (p.133). Debate quotas vs fairness.

Module 4 roadmap: Foundations of Employee Motivation

★ **3 questions: WHAT drives people (content theories)? HOW do they decide effort (process theories)? HOW do we design jobs (job design)?**

1 Motivation: direction, intensity, persistence ★★	6 Self-Determination Theory (SDT): 3 innate needs ★★★	11 Goal-setting theory: specific + difficult goals ★★★
2 The motivation map: which theory answers which question ★★★	7 Herzberg: hygiene factors vs motivators ★★★	12 Job design: from boring jobs to meaningful ones ★★
3 McGregor: Theory X vs Theory Y ★	8 Equity theory: is my deal fair compared to others? ★★★	13 Job Characteristics Model (Hackman & Oldham) ★★★
4 Maslow's hierarchy of needs ★★	9 Organisational justice: 3 kinds of fairness ★★★	14 Case 5: Orix Geoscience: the story ★★★
5 McClelland's 3 acquired needs ★★	10 Expectancy theory: Motivation = E × I × V ★★★	15 Case 5: Orix: theory-by-theory answer ★★★

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Motivation: direction, intensity, persistence

★★ IMPORTANT

📖 Book p.167-168

1 **Motivation explains WHERE effort goes, HOW MUCH effort, and for HOW LONG. It can come from outside (rewards) or inside (enjoyment).**

2 THE BASICS



DIRECTION
what you focus on



INTENSITY
how hard you try



PERSISTENCE
how long you keep going



EXTRINSIC
pay, promotion, praise



INTRINSIC
enjoyment, mastery, meaning



2 families
CONTENT (what) vs PROCESS (how)

3 KEY POINTS

1. Southwest: $544M profit-sharing = extrinsic
2. Intrinsic lasts longer and boosts performance more
3. Not every performance problem is a motivation problem: check ability & resources

4 **IN THE EXAM:** Reluctant analyst (class PPT): good pay but boring job → job-design problem, not laziness.

The motivation map: which theory answers which question

★★★ MUST KNOW

📖 Book p.168-198

1 **Every motivation theory answers one of 3 questions. Pick the right one for the case.**

2 THE MAP



CONTENT: WHAT drives us?

- Theory X / Y
- Maslow's hierarchy
- McClelland's 3 needs
- Self-determination (SDT)
- Herzberg's 2 factors

+



PROCESS: HOW do we choose effort?

- Equity / justice
- Expectancy (E × I × V)
- Goal setting
- + JOB DESIGN: JCM, crafting, i-deals

3 KEY POINTS

1. Content = needs inside the person
2. Process = how person + situation combine
3. Job design = changing the job itself
4. Strong answers combine 1 content + 1 process theory

4 **IN THE EXAM:** Orix: Herzberg + SDT (content) + Equity + Expectancy (process) + i-deals (job design).

McGregor: Theory X vs Theory Y

★ GOOD TO KNOW

📖 Book p.169

1 **Managers' assumptions shape how they treat people, and people often live up (or down) to them.**

2 X vs Y



THEORY X

- People dislike work
- Must be watched
- Carrots & sticks

VS



THEORY Y

- People want responsibility
- Self-directed, creative
- Trust & empower

3 KEY POINTS

1. Theory Y managers → higher performance, satisfaction, OCB
2. Balance: autonomy + clarity

4 **IN THE EXAM:** Indiana DOR before (time clocks, docked pay) = X; after (trust, care) = Y.

Maslow's hierarchy of needs

★★ IMPORTANT

📖 Book p.169-170

1 **People have 5 levels of needs. A satisfied need stops motivating, so the next level becomes the driver.**

2 THE PYRAMID



3 KEY POINTS

1. 'Prepotent': lowest unmet need dominates
2. Research doesn't support the strict ladder
3. Lesson: one size doesn't fit all, so ask employees
4. India (PPT): early career = safety; mid = esteem; senior = meaning

4 **IN THE EXAM:** Use to explain why different employees (young parent vs senior expert) want different rewards (Orix!).

McClelland's 3 acquired needs

★★ IMPORTANT

📖 Book p.170-172

1 **People LEARN to need achievement, affiliation or power, and one usually dominates. Match the job to the need.**

2 3 NEEDS



ACHIEVEMENT
excel, beat goals → give stretch targets + feedback



AFFILIATION
be liked, belong → give team projects



POWER
influence others → give coaching/lead roles

Institutional power (for org goals ✓) vs **personal power** (to control others ×)

3 KEY POINTS

1. Needs are acquired over life (unlike SDT)
2. Cameron Mitchell (p.172): high achievement + institutional power
3. Use when setting goals, giving feedback, assigning tasks

4 **IN THE EXAM:** Assign roles by dominant need in a team case.

Self-Determination Theory (SDT): 3 innate needs

★★★ MUST KNOW

📖 Book p.173-174

1 **Everyone is born needing to feel Competent, Autonomous and Related. Meet all three and intrinsic motivation follows.**

2 C · A · R



COMPETENCE
'I'm capable' → training, tools, coaching

+



AUTONOMY
'I have choice' → empower, delegate

+



RELATEDNESS
'I belong' → teams, fun, shared purpose

3 KEY POINTS

1. Drives **intrinsic** motivation (lasts longer)
2. Amazon month-long onboarding = competence
3. Warning: autonomy without support feels like abandonment

4 **IN THE EXAM:** Orix: autonomy (own priorities), competence (EMBA, peer review), relatedness (retreats, babies at work).

Herzberg: hygiene factors vs motivators

★★★ MUST KNOW

📖 Book p.174-176

1 **Fixing pay and conditions only stops people being UNHAPPY. Only the work itself makes them MOTIVATED.**

2 TWO SEPARATE SCALES



HYGIENE (job context)

- Pay & salary
- Company policy
- Supervision
- Working conditions
- Job security

VS



MOTIVATORS (job content)

- Achievement
- Recognition
- The work itself
- Responsibility
- Growth

3 KEY POINTS

1. Two SEPARATE scales: bad hygiene → dissatisfied
2. No motivators → just 'not satisfied'
3. Order: **fix hygiene first**, then add motivators (job enrichment)
4. Book's critique: good pay CAN motivate (REI)

4 **IN THE EXAM:** Orix: pay at industry average = hygiene; retreats, growth, autonomy = motivators. DOR: job security only a hygiene factor.

Equity theory: is my deal fair compared to others?

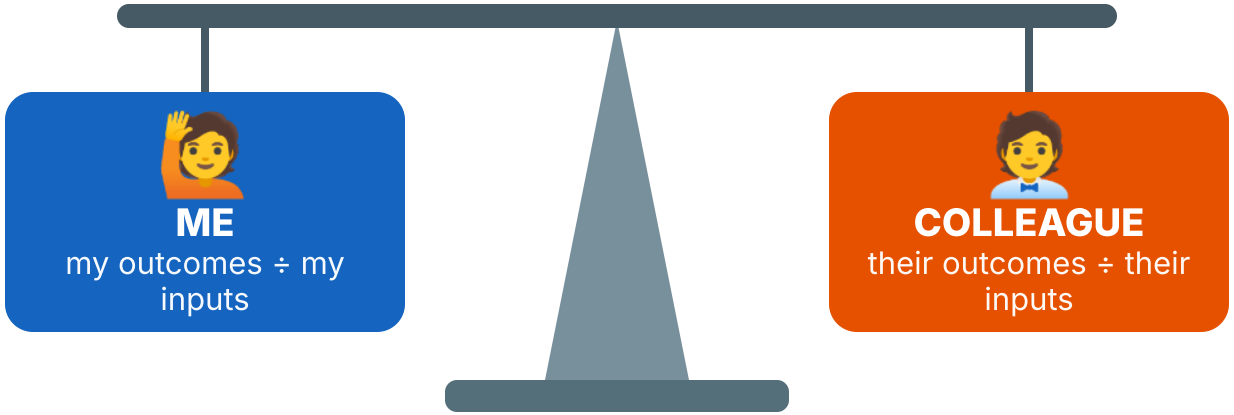
★★★ MUST KNOW

📖 Book p.178-180

1 **People compare what they GET ÷ what they GIVE with someone similar. An unfair ratio → they act to fix it.**

2 THE BALANCE

Is my ratio = their ratio?



3 KEY POINTS

1. **Inputs**: effort, skills, education, experience
2. **Outcomes**: pay, recognition, promotion, flexibility
3. Under-rewarded → anger, less effort, quit
4. ~90% paid ABOVE market think they're underpaid!

4 **IN THE EXAM:** Orix: customised pay → some get more → inequity risk as it grows. Southwest union: 'they exploit our loyalty'.

Organisational justice: 3 kinds of fairness

★★★ MUST KNOW

📖 Book p.180-183

1 **Fairness isn't only about WHAT you get. It's also HOW the decision was made and HOW you were treated.**

2 3 KINDS OF FAIRNESS



DISTRIBUTIVE
fair OUTCOMES (who gets what)

+



PROCEDURAL
fair PROCESS (rules, voice, appeal)

+



INTERACTIONAL
fair TREATMENT (respect, explanation)

3 KEY POINTS

1. Distributive & procedural matter MOST for outcomes
2. Strongest effects: job satisfaction & commitment
3. Give **voice** and an **appeals** process
4. Leaders' behaviour sets the climate for justice

4 **IN THE EXAM:** Restructuring/layoff question: discuss all 3. R3 'faux-inclusion' = procedural injustice.

Expectancy theory: Motivation = E × I × V

★★★ MUST KNOW

📖 Book p.183-185

1 **People try hard only if: effort → performance, performance → reward, AND they value the reward. Any zero kills motivation.**

2 THE CHAIN



Expectancy: 'Can I do it?' × **Instrumentality: 'Will I get the reward?'** × **Valence: 'Do I want it?'**

3 KEY POINTS

1. E raised by training, tools, self-efficacy
2. I broken by delayed or changing incentive rules
3. V depends on personal preferences
4. Book cases: orchestra strike, school 'Celebration'

4 **IN THE EXAM:** Diagnose each letter separately. Orix rewards: V high, but I unclear ('ask and maybe you get').

Goal-setting theory: specific + difficult goals

★★★ MUST KNOW

📖 Book p.187-189

1 **Clear, challenging goals beat 'do your best', IF people have ability, resources and commitment.**

2 THE TARGET



✅ SPECIFIC: 'score 4.1 → 4.4 by June'

✅ DIFFICULT but attainable

✅ Ability + resources + commitment

Why it works: attention · effort · persistence · strategy

⚠️ Too hard → cheating (VW, Bank of Baroda)

3 KEY POINTS

1. Locke & Latham, 1,000+ studies
2. Feedback & participation help commitment
3. Achievement → satisfaction → higher goals
4. Risks: gaming metrics, unethical shortcuts, stress

4 **IN THE EXAM:** Link goal-setting risks back to ethics (Ch 1 Table 1.2: ill-conceived goals).

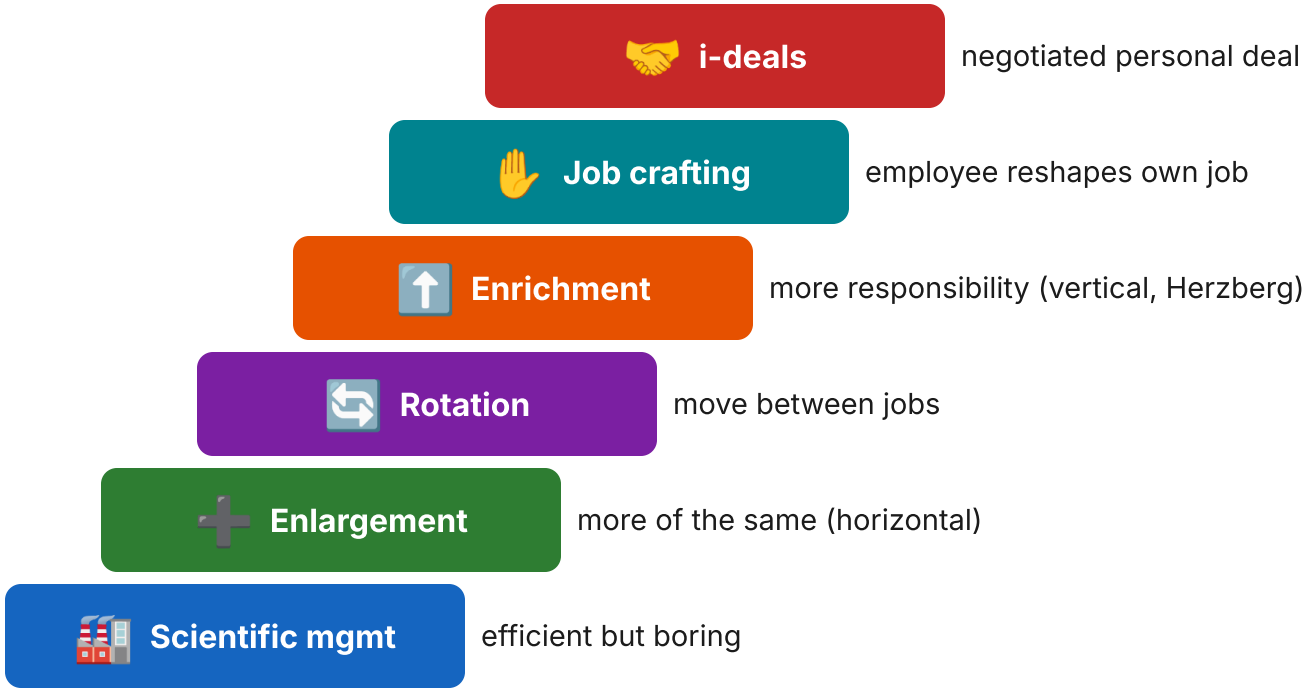
Job design: from boring jobs to meaningful ones

★★ IMPORTANT

📖 Book p.190-196

1 **You can motivate people by changing the JOB itself. Higher up the ladder = more meaning and intrinsic motivation.**

2 THE LADDER



3 KEY POINTS

1. Top-down: managers design (bottom 4)
2. Bottom-up: job crafting (task, relational, cognitive)
3. Middle: i-deals (HCL 'Employees First' p.196)
4. Watch fairness with i-deals (equity!)

4 **IN THE EXAM:** Orix runs on i-deals (4-day week, EMBA, course split).

Job Characteristics Model (Hackman & Oldham)

★★★ MUST KNOW

📖 Book p.193

1 **5 job features create 3 feelings, which create motivation. Autonomy and feedback matter most.**

2 FEATURES → FEELINGS → RESULTS



3 KEY POINTS

1. Moderators: knowledge/skill, **growth need strength**, context satisfaction
2. Not everyone wants an enriched job
3. MPS = (SV+TI+TS)/3 × A × F

4 **IN THE EXAM:** To fix a boring job in a case: name the missing feature (e.g. no feedback) and add it.

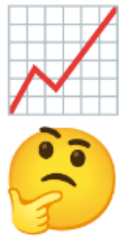
Case 5: Orix Geoscience: the story

★★★ MUST KNOW

📖 Book Case 5

1 **A CEO bet that CULTURE, not money, keeps people. Her staff said they wanted a pay raise. Who is right as the firm grows?**

2 THE STORY

1	2	3	4	5
				
Shastri runs Orix: flat, no hierarchy, 'O-Code' of 10 values	Survey: 65% rank a SALARY RAISE #1	She spends $100K on a Cuba retreat instead of bonuses	A manager refuses a rival: 'you don't have retreats?'	Scaling up: custom deals may feel UNFAIR

3 KEY POINTS

1. Base pay = industry average; extras negotiated per person (i-deals)
2. 4-day week, EMBA paid, babies at the office, peer review
3. Dilemma: keep culture-first? stay fair at scale?

4 **IN THE EXAM:** Answer with Herzberg + SDT + Expectancy + Equity/justice + i-deals (model answer in Toolkit).

Case 5: Orix: theory-by-theory answer

★★★ MUST KNOW

📖 Book Case 5

1 **Verdict: keep culture-first, but protect FAIRNESS and keep pay at market as the firm grows.**

2 6 LENSES



Herzberg
pay = hygiene; retreats & growth = motivators



SDT
autonomy, competence, relatedness all met



Equity / justice
custom deals → inequity risk; need clear rules



Expectancy
V high, I unclear



i-deals
fit individuals; must look fair



Values fit
O-Code hiring → commitment

3 KEY POINTS

1. Reco 1: benchmark pay to market (hygiene) as talent war heats up
2. Reco 2: transparent rules/menu for i-deals + appeals (procedural justice)
3. Reco 3: build O-Code into hiring & appraisal; train 10 team leads
4. Reco 4: keep retreats; re-survey engagement

4 **IN THE EXAM:** Write one paragraph per box: theory → Orix fact → so what.

Module 5 roadmap: Positive Organisational Behaviour

★ **Positive OB asks 'what strengths can we BUILD?' instead of 'what's wrong?'. Key ideas: positive emotions, PsyCap (HERO), PERMA.**

1. Positive OB: build strengths, don't just fix problems ★★★
2. Positive emotions: broaden and build ★★
3. Mindfulness: attention on purpose ★
4. Psychological Capital (PsyCap) = HERO ★★★
5. Positive climate & virtuous leadership ★★
6. Flourishing = PERMA ★★★
7. Case 6: Southwest Airlines: the story ★★★
8. Case 6: Southwest: Positive OB answer ★★★

⚡ **Fast path (only 1–2 hours?):** read slides **1, 4, 6, 7, 8** first, then the rest.

Read top to bottom, column by column. ★★★ **must know: read first** ★★ **important** ★ **if time**

Positive OB: build strengths, don't just fix problems

★★★ MUST KNOW

📖 Book p.257-262

1 **POB studies positive strengths that can be MEASURED, DEVELOPED and MANAGED to improve performance.**

2 OLD vs NEW



TRADITIONAL OB

- 'What's wrong with the employee?'
- Reduce problems
- Fix weaknesses

→



POSITIVE OB

- 'What strengths can we build?'
- Build resources
- Aim: flourishing

3 KEY POINTS

1. NOT blind positivity ('everything will be fine')
2. = acknowledge reality + build resources + act
3. **Positive deviance**: performance far above the norm
4. Benefits: ↑ performance, commitment; ↓ burnout, sick days

4 **IN THE EXAM:** Class examples: Tata Group in COVID (April 2020); Infosys + NIMHANS mental-health first aiders.

Positive emotions: broaden and build

★★ IMPORTANT

📖 Book p.268-274

1 **Negative emotions NARROW your thinking; positive emotions BROADEN it, spread to others, and build lasting resources.**

2 NARROW vs BROAD



NEGATIVE emotions

- Narrow focus
- Fight/flight thinking
- Limited options

VS



POSITIVE emotions

- Broaden thinking, creativity
- Contagious → upward spirals
- Build resources over time

3 KEY POINTS

1. Need SEVERAL positives to offset one negative
2. 4 ways to raise positivity: connections, kindness, distractions, dispute negative self-talk
3. Faking happiness does NOT work

4 **IN THE EXAM:** Southwest's fun culture spreads to customers (contagion + spillover).

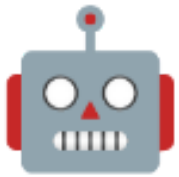
Mindfulness: attention on purpose

★ GOOD TO KNOW

📖 Book p.275-279

1 **Mindfulness = paying attention to the present moment, on purpose, without judging. It can be learned.**

2 MINDLESS vs MINDFUL



MINDLESS

- Autopilot, rigid
- Poor emotion control
- Worse health

VS



MINDFUL

- Present & non-judgemental
- Better communication
- Balanced emotions

3 KEY POINTS

1. Inhibitors: attentional deficit (can't focus), hyperactivity (racing mind)
2. Practised through simple meditation

4 **IN THE EXAM:** Supporting point for well-being questions.

Psychological Capital (PsyCap) = HERO

★★★ MUST KNOW

📖 Book p.280-285

1 **PsyCap is a set of 4 positive resources you can develop: Hope, Efficacy, Resilience, Optimism.**

2 HERO



H · HOPE
a goal + willpower + waypower (paths)



E · EFFICACY
'I can do this'



R · RESILIENCE
bounce back from setbacks



O · OPTIMISM
wins = mine & lasting; losses = temporary

3 KEY POINTS

1. Measurable AND developable (short training works)
2. Predicts performance & well-being
3. Optimism links to attribution (Ch 4); efficacy to expectancy (Ch 5)
4. Signature strengths: use yours daily

4 **IN THE EXAM:** Southwest: resilience after 9/11 with no layoffs; Tata built HERO during COVID.

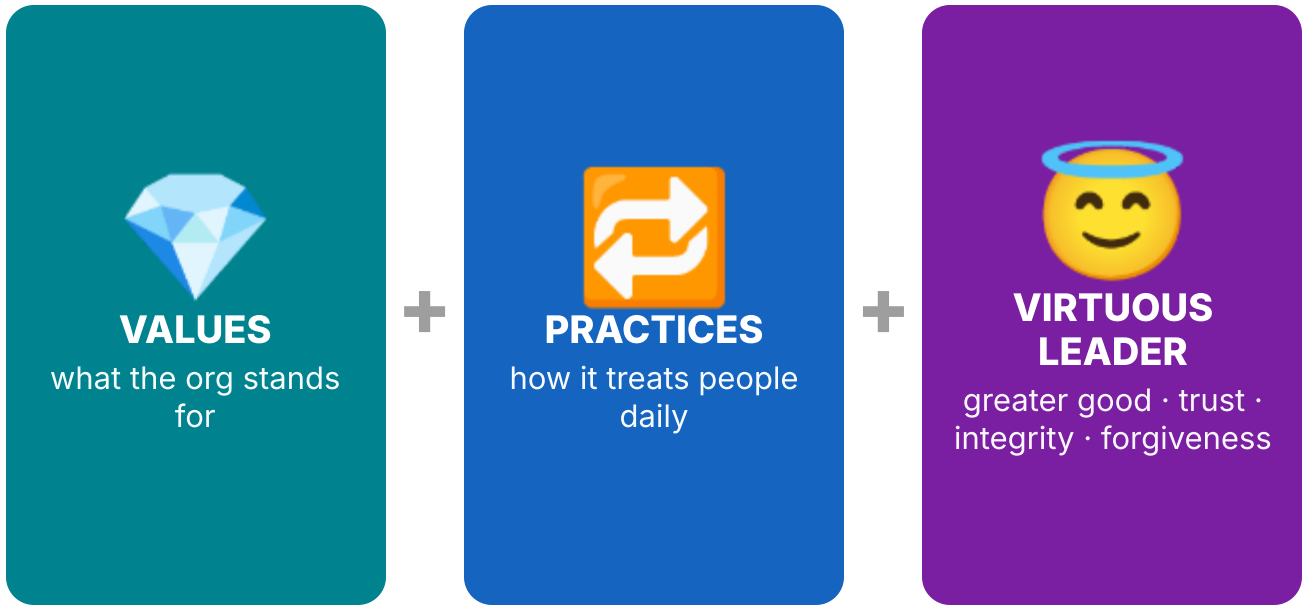
Positive climate & virtuous leadership

★★ IMPORTANT

📖 Book p.286-289

1 **A positive climate comes from 3 things: organisational values, everyday practices, and virtuous leaders.**

2 3 INGREDIENTS



3 KEY POINTS

1. Climate = how employees perceive policies & routines
2. Virtuous leadership → financial results, customer satisfaction
3. Quiz: conflict-resolution panel = restorative justice

4 **IN THE EXAM:** Kelleher (Southwest) and Krupp & Grennes (Indiana DOR) = virtuous leaders.

Flourishing = PERMA

★★★ MUST KNOW

📖 Book p.290-293

1 **Flourishing is the goal of Positive OB: a life (and job) full of Positive emotions, Engagement, Relationships, Meaning and Achievement.**

2 THE PERMA FLOWER



3 KEY POINTS

1. Seligman's PERMA model
2. **Flow** = completely absorbed in an activity
3. 4 kinds of social support: esteem, informational, companionship, instrumental
4. Meaning = serving something bigger than yourself

4 **IN THE EXAM:** Map a case to PERMA: Southwest has P (fun), R (family), M (purpose), A (best service).

Case 6: Southwest Airlines: the story

★★★ MUST KNOW

📖 Book Case 6

1 **A low-cost airline made happy employees its competitive edge, and stayed profitable 41 years in a row.**

2 THE STORY

1	2	3	4	5
				
'Employees first, customers second'; hire for ATTITUDE	University for People; leaders grown inside	Never any layoffs; open-book finances	Fun: mid-air wedding, paper-plane races	2014: union talks stall: 'exploiting loyalty?'

3 KEY POINTS

1. Kelleher: integrity, informality, cards for births/deaths
2. Industry-leading pay ($63,752 vs Delta $42,647)
3. Customer satisfaction 2nd best; lowest complaints since 1987

4 **IN THE EXAM:** Harper's question: are the traits we hire for right for the future?

Case 6: Southwest: Positive OB answer

★★★ MUST KNOW

📖 Book Case 6

1 **Southwest wins because positive emotions, PsyCap and virtuous leadership are built into everyday practice.**

2 6 LENSES

🌈
Positive emotions
fun culture spreads to customers

🦸
PsyCap
resilience post-9/11, efficacy via training

😇
Virtuous leadership
Kelleher's integrity & care

🌻
PERMA
relationships, meaning, achievement

🧹
Herzberg
security & pay = hygiene; recognition = motivator

⚠️
Risks
union tension, social-media blunders

3 KEY POINTS

1. Reco 1: structured situational interviews (cut perception bias)
2. Reco 2: hire for PsyCap & EI, not just 'fun'
3. Reco 3: fair, transparent union talks (procedural justice)
4. Reco 4: social-media & de-escalation training

4 **IN THE EXAM:** One paragraph per box: theory → Southwest fact → so what.

Theory finder: which theory for which question?

★★★ MUST KNOW

1 **Spot the PROBLEM type in the case, then grab the matching theories.**

	If the question is about…	…use these theories	Book pages
😴	**Low effort / disengaged staff**	Herzberg · SDT · Expectancy · JCM	**p.174, 173, 183, 193**
🚪	**People quitting / turnover**	Job satisfaction causes · commitment · McKinsey	**p.60, 54, 68**
💸	**Pay / reward dispute**	Equity · Justice · Expectancy · Herzberg	**p.178, 180, 183, 175**
🙈	**Bias in hiring / promotion**	Perception · implicit bias · stereotypes	**p.126, 131, 133**
👉	**Manager blames someone**	Kelley attribution · FAE	**p.135, 137**
🔄	**Resistance to change**	R3 · emotions (anger/fear) · justice	**R3, p.113, 180**
🎯	**Targets → cheating**	Table 1.2 ethics · goal-setting risks	**p.18, 188**
☠️	**Toxic boss / culture**	EI · Starbucks · R1 Schein · POB	**p.105, R1, p.289**
🌱	**Well-being / culture of positivity**	PsyCap HERO · PERMA · virtuous leadership	**p.280, 290, 289**

EXAM TOOLKIT

All 7 cases & readings on one page

★★★ MUST KNOW

1 **Each case has 2–4 'home' theories. Learn this page and you'll never be stuck.**



R1 Indiana DOR

Culture turnaround without pay

Schein · Pfeffer · Herzberg · POB



R2 Carucci

Destructive habits have origin stories

Emotions · behavioural problems



R3 Carucci

Resistance = data

Emotions · attribution · justice



C7 Prudence

Gender barriers 'maze'

Stereotypes · attribution · emotions



C8 Yelp

Bias in tech hiring

Perception · implicit bias · stereotypes



C5 Orix

Culture vs pay

Herzberg · SDT · equity · expectancy · i-deals



C6 Southwest

People-first airline

POB · PsyCap · PERMA · virtuous leadership

Worked answer: 'Should Orix keep putting culture before pay?'

★★★ MUST KNOW

📖 Book Case 5

1 **Copy this SHAPE: problem → theory + fact (×2–3) → recommendations + measure.**

1 PROBLEM	The core problem at Orix is how to keep employees engaged and fairly rewarded as it scales: 65% want a raise, and customised deals may start to feel unfair.
2a THEORY + FACT	Herzberg (p.175): Orix keeps pay at industry average (a hygiene factor), which prevents dissatisfaction, while retreats, growth and autonomy act as motivators that create satisfaction.
2b THEORY + FACT	Equity theory (p.178): because extras are negotiated individually, employees will compare outcome/input ratios. As the firm grows, unequal i-deals risk perceived inequity.
3 RECOMMEND	I recommend Orix (a) benchmark base pay to market, (b) publish clear rules for i-deals with an appeal route (procedural justice, p.180), and (c) keep retreats. Success = engagement scores and voluntary exits.

Compare & contrast in one line each

★★ IMPORTANT

1 **'Distinguish between X and Y' questions: give this one line, then one example each.**

Values vs attitudes	⚖️ global & stable vs specific & changeable
Content vs process	⚖️ WHAT needs drive us vs HOW we choose effort
Maslow vs Herzberg	⚖️ 5-step ladder vs 2 separate scales
McClelland vs SDT	⚖️ learned needs vs innate needs
Equity vs expectancy	⚖️ fair compared to others? vs worth the effort?
Distributive / procedural / interactional	⚖️ fair outcome / process / treatment
Enlargement vs enrichment	⚖️ more tasks (horizontal) vs more responsibility (vertical)
OCB vs CWB	⚖️ voluntary help vs deliberate harm
FAE vs self-serving bias	⚖️ blame others' traits vs credit myself
Anger vs fear	⚖️ looks back vs looks forward
Traditional OB vs POB	⚖️ fix weaknesses vs build strengths

Last look before the exam: 10 lists worth knowing

★★ IMPORTANT

1 **These lists are in the book, but knowing them by heart saves you flipping time.**

Ethics causes (5)	goals · motivated blindness · indirect blindness · slippery slope · overvaluing outcomes
4 workplace attitudes	commitment · engagement · POS · satisfaction
Kelley → PERSON	low consensus · low distinctiveness · high consistency
Expectancy	E × I × V: any zero = no motivation
HERO	hope · efficacy · resilience · optimism
Job-sat causes (5)	needs · expectations · values · equity · disposition
EI (4)	self-aware · self-manage · social aware · relationships
SDT (3)	competence · autonomy · relatedness
JCM (5)	variety · identity · significance · autonomy · feedback
PERMA	positive emotions · engagement · relationships · meaning · achievement